WHY INDIA MATTERS

India's Defence Industrial Base and Defence Exports

Defence exports, production and market reach, 2016–17 to 2025–26, against the government's 2028–29 targets. All values converted to Australian dollars.

India now manufactures A$26 billion of defence equipment a year and exports to more than eighty countries, having grown its defence exports fifty-six fold since 2013-14 and by nearly two-thirds in 2025-26 alone. This development directly impacts Australia, as India is a key strategic and security partner expanding its industrial footprint along vital maritime routes. New Delhi has designated 46 international markets for its state-owned defence primes, including 21 across the Indian Ocean. With an overall defence expenditure roughly 1.75 times that of Australia and an annual procurement budget nearing A$28 billion, India offers a substantial gateway for Australia following the Joint Declaration on Defence and Security Cooperation signed in July 2026.

ONE-YEAR GROWTH

+62.7%

India's defence exports rose 62.66 per cent in 2025–26 to a record ₹38,424 crore (A$5.70 billion), the largest single-year increase on record, with state-owned primes lifting their contribution by 151 per cent.

A$26.4 bn
Defence production in 2025–26, a record ₹1.78 lakh crore — nearly four times the 2014–15 level

A$44.5 bn
Production target for 2028–29 (₹3 lakh crore), with a ₹50,000 crore export target

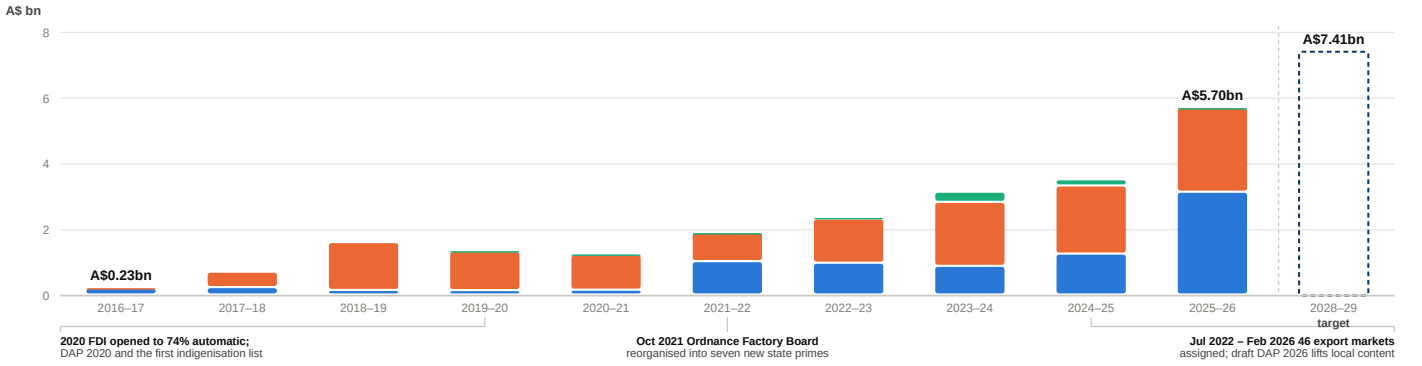
80+
Countries buying Indian defence equipment in 2025–26, from 145 authorised exporters

834
Defence industrial licences at March 2026, more than three times the 258 issued by 2015

1.75×
India's defence budget of A$116 bn relative to Australia's total defence funding

The growth curve: India's defence exports by channel

A$ BILLION · INDIAN FISCAL YEARS



State-owned primes — contract value and other export · Private industry — export authorisations · SCOMET licences issued by the DGFT · Government target for 2028–29

The reach: where India has directed its industry to sell

46 MARKETS · 21 IN THE INDIAN OCEAN

India's Department of Defence Production has assigned forty-six export markets to eleven state-owned primes, each made responsible for marketing the full spectrum of Indian defence products — public and private — in its territory. Twenty-one of those markets sit in or on the Indian Ocean region, the waters through which the majority of Australia's trade moves.

21 markets in the Indian Ocean region — **25 elsewhere**

46 markets allocated across 11 state-owned primes

Bangladesh · Egypt · Indonesia · Kenya · Kuwait · Madagascar · Malaysia · Maldives · Mauritius · Myanmar · Oman · Qatar · Saudi Arabia · Seychelles · Singapore · South Africa · Sri Lanka · Sudan · Tanzania · Thailand · UAE

Africa	11
South Asia & Indian Ocean littoral	9
Southeast Asia & Pacific	8
Gulf & Middle East	7
Eurasia & Europe	7
Americas	4

BrahMos	Supersonic cruise missile — Philippines, Vietnam, Indonesia
Akash	Air defence system — Armenia, US$720 million, 2022
Pinaka	Multi-barrel rocket launcher — Armenia, ₹2,000 crore, 2022
Aerostructures	Fuselages and sub-assemblies — the United States is India's single largest destination

Australia's opening

OCTOBER 2025 → JUNE 2026

OCTOBER 2025
Australia's inaugural defence trade mission to India, and the first Australia–India Defence Industry Roundtable.

1 JUNE 2026
Defence Ministers agree to begin developing a Memorandum of Understanding on the Provision of Defence Articles and Defence Services.

NEXT
Exchanges through the Joint Working Group on Defence Industry, Research and Materiel; sensor technologies named a priority.

LEAST RELIABLE DATA POINT

The least reliable figure here is the ₹17,330.57 crore private-sector component of 2025–26 exports, which the Department of Defence Production's own dashboard labels "Export Authorisations to Private Companies", meaning a permission to export and not a shipment made, so roughly 45 per cent of the headline total records approved intent, and no reconciliation to customs data is published.

Sources Department of Defence Production, Defence Export dashboard (updated 7 August 2026); Press Information Bureau, 'India's Defence Strength' backgrounder (14 August 2026) and 'The Defence Decade' (17 June 2026); Ministry of Defence Export Promotion Cell, ID No. 10/EPCell/DPSUs/2022 (4 July 2022); MP-IDSA, 'MoD 2026–27 Budget Estimates' (13 February 2026); SIPRI, 'Trends in International Arms Transfers, 2025' (March 2026); ASPI, 'The Cost of Defence 2026–27' (28 May 2026); Australian Minister for Defence, Joint Statement on the Second India–Australia Defence Ministers' Dialogue (1 June 2026); Outlook Business (16 July 2026). Full source table overleaf. **Conversions** ₹67.45 = A$1, Reserve Bank of Australia, 14 August 2026.

Source table

Every data point carried in the graphic, with its source, publisher, publication date and date accessed. Compiled 17 August 2026. Currency conversions throughout use the Reserve Bank of Australia daily rate of ₹67.45 to A$1 as at 14 August 2026; one crore is ten million rupees.

	DATA POINT	SOURCE	PUBLISHER	PUBLISHED	ACCESSED	NOTES
1	Defence export series by channel, 2016–17 to 2025–26: export authorisations to private companies, SCOMET issued by DGFT, contract value and other export by DPSUs, and total export	Defence Export dashboard	Department of Defence Production, Ministry of Defence (ddpdashboard.gov.in)	Updated 7 Aug 2026	17 Aug 2026	Primary series for the main chart. Column headings reproduced as printed by the Department.
2	2025–26 exports ₹38,424 cr, up 62.66 per cent; DPSUs ₹21,071 cr (54.84 per cent), up 151 per cent year on year; private sector ₹17,353 cr (45.16 per cent); exports to more than 80 countries; 145 authorised exporters, up from 128; the United States the top destination	‘India’s defence exports rocket to Rs 38,424 cr in FY26, up by 63%; US remains top destination’	ThePrint	2 Apr 2026	17 Aug 2026	Reports Ministry of Defence figures. The private-sector value differs by ₹22.43 cr from the dashboard; the dashboard figure is used in the chart.
3	Defence production ₹46,429 cr (2014–15), ₹84,643 cr (2020–21), ₹1,78,000 cr (2025–26); exports ₹686 cr (2013–14); production target ₹3 lakh cr and export target ₹50,000 cr by 2028–29; defence budget ₹7.85 lakh cr in 2026–27; R&D ₹29,100.25 cr	‘India’s Defence Strength: Powering National Security through Self-Reliance’ (Backgrounder)	Press Information Bureau, Government of India	14 Aug 2026	17 Aug 2026	Government backgrounder issued for the 80th Independence Day. Production figure stated as at June 2026.
4	834 defence industrial licences at March 2026, from 258 in 2015; 16 defence public sector undertakings; approximately 17,000 MSMEs in the defence ecosystem; Ordnance Factory Board dissolved in October 2021 and its 41 factories reorganised into seven new DPSUs	‘The Defence Decade’ (PRID 2273854)	Press Information Bureau, Government of India	17 Jun 2026	16 Aug 2026	Used for the ecosystem counts and the 2021 corporatisation milestone.
5	Allocation of 46 export markets across 11 defence public sector undertakings, with each made responsible for marketing the full spectrum of Indian defence products, public and private, in its assigned territory; five further undertakings unallocated	Office memorandum, ‘Enhancement of Defence Exports — Allocation of Geographical Region’, MoD DDP ID No. 10/EPCell/DPSUs/2022	Export Promotion Cell, Department of Defence Production, Ministry of Defence	4 Jul 2022	16 Aug 2026	Primary document. Country list counted directly from Annexure A. No superseding allocation has been published.
6	Defence budget 2026–27 ₹7,84,678.3 cr, 2.0 per cent of GDP and 14.7 per cent of central government expenditure; capital outlay ₹2,19,306.47 cr; capital acquisition ₹1,85,467.1 cr with ₹1,39,100.3 cr (75 per cent) earmarked for domestic sources	S. Samuel C. Rajiv and Abhay Kumar Singh, ‘Ministry of Defence 2026–27 Budget Estimates: An Analysis’	Manohar Parrikar Institute for Defence Studies and Analyses (MP-IDSA)	13 Feb 2026	16 Aug 2026	Issue brief. Source of the A$27.5 bn annual equipment budget cited in the standfirst.
7	FDI permitted up to 74 per cent through the automatic route and up to 100 per cent by government approval; Defence Acquisition Procedure 2020	‘India’s Defence Manufacturing Industry Revolutionizing Exports’	India Brand Equity Foundation (IBEF), Ministry of Commerce and Industry	Feb 2026	16 Aug 2026	Used for the 2020 policy milestone annotation.
8	Draft Defence Acquisition Procedure 2026: procurement categories reduced from five to four; indigenous content in Buy (Indian-IDDM) raised from 50 to at least 60 per cent; a 30 per cent indigenous-content requirement introduced for Buy (Global)	‘JSA Prism | Defence — DAP 2026’	JSA Advocates & Solicitors	Mar 2026	15 Aug 2026	Cross-checked against Mondaq, ‘Ministry Of Defence Releases Draft Defence Acquisition Procedure 2026’, 8 May 2026. Draft released 13 February 2026; not in force at compilation.
9	BrahMos supersonic cruise missile exported to the Philippines, Vietnam and Indonesia; Akash air defence system to Armenia, US$720 million, 2022; Pinaka multi-barrel rocket launcher to Armenia, ₹2,000 crore, 2022; Dornier-228 and artillery among complete platforms exported	‘BrahMos, Akash, Pinaka: The Weapons Fuelling India’s Defence Export Boom’	Outlook Business	16 Jul 2026	15 Aug 2026	Used for the flagship platform and buyer pairings.
10	Australia’s inaugural defence trade mission to India and the first Australia–India Defence Industry Roundtable, October 2025; agreement to begin developing a Memorandum of Understanding on the Provision of Defence Articles and Defence Services; Joint Working Group on Defence Industry, Research and Materiel; sensor technologies named a priority	‘Joint Statement on the Second India–Australia Defence Ministers’ Dialogue’	Australian Government, Minister for Defence	1 Jun 2026	15 Aug 2026	Primary bilateral source.
11	Australian defence funding of approximately A$66.4 bn in 2026–27; A$887 bn over the decade to 2035–36	Marc Ablong, Courtney Stewart, Malcolm Davis, Linus Cohen and Mike Hughes, ‘The cost of Defence: ASPI Defence budget brief 2026–2027’	Australian Strategic Policy Institute	28 May 2026	15 Aug 2026	Basis for the 1.75× comparison.
12	India the second-largest importer of major conventional weapons 2021–25 at 8.2 per cent of global transfers; India absent from the 25 largest suppliers on the same measure	Mathew George, Katarina Djokic, Zain Hussain, Pieter D. Wezeman and Siemon T. Wezeman, ‘Trends in International Arms Transfers, 2025’ (SIPRI Fact Sheet)	Stockholm International Peace Research Institute	Mar 2026	15 Aug 2026	Trend-indicator values for delivered major platforms. Recorded here because it is not comparable with the rupee export series; see the comparability note.
13	Critique of the official export methodology: reported figures aggregate export authorisations and signed contracts rather than invoice values	Amit Cowshish, ‘Decoding the Defence Ministry’s Cryptic Claims About Arms Exports’	The Wire	22 Jul 2022	14 Aug 2026	Author is a former Financial Adviser (Acquisition) to the Ministry of Defence. Basis for the least-reliable-data-point note.
14	Exchange rate of ₹67.45 to A$1	Exchange rates — daily	Reserve Bank of Australia	14 Aug 2026	17 Aug 2026	Applied to every Australian dollar conversion in this graphic.

Derived figures and methodological notes

Figures computed from the sources on the preceding page rather than quoted from them, with the arithmetic shown so that every number in the graphic can be reproduced.

DERIVED FIGURE	VALUE	COMPUTATION
Defence exports 2025–26 in A$	**A$5.70 bn**	₹38,424.01 cr × 10,000,000 ÷ 67.45
Export growth, 2024–25 to 2025–26	**62.66%**	38,424.01 ÷ 23,622.00 − 1
Export growth since 2013–14	**56.0×**	38,424.01 ÷ 686
DPSU share of 2025–26 exports	**54.84%**	21,071.15 ÷ 38,424.01
Private-authorisation share of 2025–26 exports	**45.10%**	17,330.57 ÷ 38,424.01
Defence production 2025–26 in A$	**A$26.4 bn**	₹1,78,000 cr × 10,000,000 ÷ 67.45
Production growth, 2014–15 to 2025–26	**3.83×**	178,000 ÷ 46,429
Production target 2028–29 in A$	**A$44.5 bn**	₹3,00,000 cr × 10,000,000 ÷ 67.45
Export target 2028–29 in A$	**A$7.41 bn**	₹50,000 cr × 10,000,000 ÷ 67.45
Defence budget 2026–27 in A$	**A$116.3 bn**	₹7,84,678.3 cr × 10,000,000 ÷ 67.45
Capital acquisition budget in A$	**A$27.5 bn**	₹1,85,467.1 cr × 10,000,000 ÷ 67.45
India's defence budget relative to Australia's	**1.75×**	A$116.33 bn ÷ A$66.4 bn
Industrial licence growth, 2015 to March 2026	**3.23×**	834 ÷ 258
Export markets allocated to state-owned primes	**46 countries, 64 assignments, 11 undertakings**	Counted from Annexure A of the July 2022 memorandum
Allocated markets in or on the Indian Ocean region	**21 of 46 (46%)**	Counted from Annexure A

Notes on definition and comparability

Export measure. The Department of Defence Production's series combines three components with different bases: contract value and other export by defence public sector undertakings, export authorisations issued to private companies, and SCOMET licences issued by the Directorate General of Foreign Trade. The private component records permissions granted rather than goods shipped. The series is nonetheless the only continuous official record and is used unadjusted here, with the caveat stated on the face of the graphic.

Currency conversion. Conversions are indicative and are not adjusted for purchasing power parity, under which India's defence spending buys substantially more than the market rate implies. A single reference date is used throughout so that every figure remains internally consistent.

Fiscal years. Indian fiscal years run 1 April to 31 March and are written 2025–26. Australian fiscal years run 1 July to 30 June and are written 2026–27. The two are not aligned, and the comparison of defence budgets is between the nearest corresponding years.

Market allocation. The July 2022 memorandum is the most recent allocation published by the Export Promotion Cell. It records where India has directed its state-owned primes to concentrate promotion effort; it is not a record of sales made, and countries may be, and are, supplied outside the allocation.

Declaration of tools used

This statement records the tools used to produce this output.

Graphic Generation	Claude (Anthropic), used through Cowork, for graphic generation, formatting and document generation.
Document	Generated with the docx JavaScript library and further edited upon as a word file.
Author’s responsibility	The framing of the argument, the selection of sources, the choice of what to include and exclude, the identification of the least reliable data point, and the final wording are the author’s own.